This single taxation system unified the fragmented taxation authority vested in the Centre and the states earlier. It heralded a ‘one nation, one value-added tax system’ for the country. It transformed goods and services taxation from an origin-based system (where tax was collected where the goods and services were produced) to a destination-based one (where tax was collected by the state where the consumption of goods and services took place). GST brought about a single rate of taxation on goods or services all over the country, doing away with the complications of determining maximum sale price in different states by debarring the Centre and states from putting any other tax or cess on goods and services covered under the GST. These were massive reforms, which will affect the structure of production and consumption in the country in times to come.

GST replaced and subsumed more than twenty indirect Central and state taxes. The central taxes subsumed included central excise duty (barring a few products), duties of excise on medicinal and toilet preparations, additional duties of excise on goods of special importance (which had disallowed the states to impose tax rates higher than prescribed), additional duties of excise on textiles, additional duties of customs levied as countervailing duties, special additional duty of customs (which existed to countervail the impact of lesser incidence of state VAT on imported goods), service tax and numerous cesses and surcharges the Centre had imposed on a number of commodities. Among the state tax laws, GST replaced state VAT, Central Sales Tax (which was meant to tax interstate transactions but had become an instrument of interstate war to attract investment), taxes on specific services like advertisements, entertainment, luxuries, lotteries and so on as well as numerous cesses and surcharges most states had levied on several commodities. It made the indirect taxation system much less complex.

Some items were left out; petroleum products (crude oil, petrol, diesel, natural gas, aviation turbine fuel) being the most significant, which are